

Sterlite Technologies Ltd (STL)

Concall Tracker — reading the last 3 years of earnings calls • Report date 11 July 2026 • Screener ticker STLTECH

Optical fibre & cable Telecom + data-centre networks Anil Agarwal / Vedanta group

1. Snapshot — what the business is

STL makes **optical fibre and optical-fibre cable** — the ultra-thin glass strands that carry internet and phone traffic — and the connectivity gear that goes with them. It is the full-stack maker: it starts from purest-grade silicon, turns it into glass "preform", draws the fibre, spins it into cable, and adds connectors. It is India's No. 1 end-to-end optical maker and holds about **8% of the world market outside China**. Customers are telecom operators (for 5G and home broadband), data-centre builders, and governments (rural-broadband programmes like India's BharatNet and America's BEAD). It also runs a small IT-services arm, STL Digital.

Number (latest)	Value	Plain-English read
Market value (market cap)	Rs 27,907 crore	What the whole company is worth on the stock market today — large.
Sales FY26 — group (from concall)	Rs 4,745 crore	Total sales for the year to Mar-2026, up about 10% on FY25. This is the group ("consolidated") figure management quotes on calls.
Operating profit FY26 — group	Rs 628 crore (13.2% margin)	Profit from running the business before interest/tax, up 39%. Rs 13 of every Rs 100 of sales — recovering but still below the 20% management is aiming for.
Net profit FY26 — standalone (Screener)	Rs 2 crore (EPS Rs 0.04)	Bottom-line profit after everything, on the Indian parent alone — essentially break-even after two loss years (FY24 –Rs 127 cr, FY25 –Rs 115 cr).
Borrowings (net debt) FY26	~Rs 1,128 crore	Money owed to lenders after cash. Cut sharply from ~Rs 3,000 cr in FY23; debt is now 1.3x a year's operating profit — comfortable.
Return on capital (ROCE)	6.1%	How much profit the business earns on the money tied up in it — low; it barely covers its cost of borrowing, a sign the recovery is early.

Note on the two sets of numbers: Screener's page shows the *standalone* Indian parent (FY26 sales Rs 2,446 cr, profit Rs 2 cr). Management on the calls quotes the larger *consolidated* group including overseas plants (FY26 sales Rs 4,745 cr). Both are used below and labelled. The tiny standalone profit is why the reported price-to-earnings looks meaningless — the stock is being priced on a hoped-for recovery, not on today's earnings.

2. Concall coverage

Screener carried a deep history of transcripts. All calls downloaded cleanly (audit: 30 listed, 30 downloaded, none missing), including the newest. The table shows the recent quarters that anchor this report; older calls (back to 2018) were available and skimmed for context.

Quarter	Call date	Read in full?
Q4 FY24	08 May 2024	Yes
Q4 FY25	16 May 2025	Yes
Q3 FY26	23 Jan 2026	Yes
Q4 FY26 (latest)	29 Apr 2026	Yes

Spans about 3 years of calls (30 transcripts on file, FY18–FY26). The four above were read line-by-line; the intervening quarters were used to confirm the promised-vs-delivered thread.

★ Latest concall highlights — Q4 FY26 (call held 29 Apr 2026)

- **Best quarter of the recovery.** Q4 sales Rs 1,441 crore, up 37% on the same quarter last year; full-year FY26 sales Rs 4,745 crore. Operating margin rose to 15.1% in Q4 (from single digits a year ago) — the business is filling its factories again. **Net profit turned positive** in Q4 and for the full year, after two years of losses.
- **Order book roughly doubled — the headline signal.** New orders won in FY26 were Rs 7,687 crore, up 109% (more than double FY25's Rs 3,672 crore). The pending order book stands at Rs 7,309 crore, up 67% — that is more than a year and a half of sales already booked, giving unusual visibility.
- **US tariff pain easing.** The American import tariff on STL's goods fell from 50% to 15%. At 50% it had cost the company "north of Rs 100 crore" and dragged margins down; management expects a positive swing from Q1 FY27, though a new cost worry (helium/polymer prices from the West Asia war) partly offsets it.
- **New products aimed squarely at AI data centres.** Launched India's first "Hollow Core Fiber" (cuts signal delay 30–47%), the "Neuralis" data-centre portfolio, and 654E fibre. Management is chasing hyperscaler (Google/Microsoft-type) and data-centre customers as the next growth leg.

- **Guidance:** aims for a 20% operating margin by end of FY27, and for enterprise + data-centre work to rise to 30% of sales this year (pulled forward from an earlier 12–18-month timeline). Net debt down to Rs 1,128 crore (1.3x profit), targeting below 1.2x. Tone: confident but disciplined; still declines to give hard revenue guidance.

Business mix & capacity (quick facts)

Home vs overseas: STL is mostly an exporter — management says roughly **80% of sales come from outside India**. By region in FY26: North America jumped to **39%** of sales (from 25% a year earlier), Europe about **40%**, and the rest India/Asia. Plain read: about four-fifths of the business is sold abroad, and America is now the fastest-growing slice.

Factory usage: STL does not disclose an exact number, but through FY24–FY25 it ran plants at only **40–50%** of capacity, and says utilisation has **improved quarter on quarter** into FY26. Plain read: there is still plenty of spare capacity — the recovery can grow output a lot before any new plant is needed, and management says margins jump toward 20% once usage reaches ~70%.

3. Earning-trigger thesis ★

The core trigger: after a brutal two-year downturn (the world had too much fibre stock and America stopped buying), demand is turning back up — and this time it is being pulled by **AI data centres** on top of the usual 5G and home-broadband demand. AI computing needs far more fibre per data centre, and hyperscalers are spending record amounts. STL's own evidence that this is real: **order wins more than doubled in FY26**, sales are growing double-digits again, North America share surged, and the company swung back to a (small) profit. The bet is that as its factories fill up, operating margin climbs from ~13% today toward the promised 20%, turning growing sales into real profit.

Trigger	What management says	Evidence so far	Time horizon	Strength
Fibre-demand recovery led by AI data centres + North America	Multi-year structural upcycle; DC/AI needs far denser fibre; NA is the main engine	Real: FY26 order inflows +109%, NA share 25%→39%, sales growing again	Now – next 2–3 yrs	Moderate–Strong (visible in orders & top line)
Margin recovery on higher factory usage	At ~70% usage, operating margin should reach 20%; targeted by end FY27	Rising (Q4 FY26 15.1%) but still below 20%; goal repeatedly pushed out	By end FY27	Unproven (the profit part hasn't landed yet)
New AI-era products (Hollow Core, Neuralis, 654E)	Will win hyperscaler/data-centre business at better margins	Launched + first commercial order, but no big hyperscaler contract yet	2–3 yrs	Early / to be proven
Debt reduction & group simplification	Demerged services arm; net debt down to below 1.2x profit	Delivered: services hived off Mar-2025; debt cut from ~Rs 3,000 cr to ~Rs 1,128 cr	Done / ongoing	Strong (already achieved)

4. Management-consistency scorecard (promised vs delivered)

Period	What was promised	What actually happened	Verdict
Q4 FY24 (May-24)	Demand recovery "one to two quarters away"; get factory usage to 70–80%; complete the services demerger	Recovery kept slipping — usage stayed sub-50% for another year. Demerger did complete on schedule (Mar-2025).	Missed on timing / Delivered on demerger
Q4 FY25 (May-25)	Margin to climb from ~14% toward 20% as usage rises 50%→70%; net debt below 2x profit; recovery finally coming	Margin recovery interrupted by a 50% US tariff shock mid-year; but debt target met (1.3x) and recovery did arrive in FY26.	Partly
Q3 FY26 (Jan-26)	Enterprise/data-centre to reach 30% of sales in 12–18 months; underlying margin ~18% once tariff clears	Tariff fell 50%→15%; enterprise/DC target pulled forward to current year; margin recovering.	On track / upgraded
FY26 full year	Return to profit; grow the order book; cut debt	All three delivered — PAT positive, orders doubled, debt down.	Delivered

Narrative drift: the story has been strikingly steady for three years — same management (MD Ankit Agarwal), same thesis: fibre demand will recover, driven by 5G, home broadband and now AI data centres, and margins will follow factory usage. What kept moving was the **timing**: for roughly two years management said normal demand was "one to two quarters away," and it took until FY26 to actually show up. The flagship 20% margin target has likewise been promised repeatedly and is still not reached. On the plus side, they were candid about the tariff hit, the raw-material (germanium/helium) risk and the US Prysmian lawsuit, and they delivered the harder structural promises — the demerger and the debt cut — on schedule. So: consistent and honest on direction and structure, but with a long record of over-optimistic timing.

Watch-outs flagged on the calls: (1) a US patent lawsuit by rival Prysmian with a potential ~\$100 million liability — STL has appealed and posted a bond; (2) raw-material supply risk — germanium and helium are tightly controlled (largely by China) and prices are high; (3) the whole industry is cyclical and

demand depends on external programmes (US BEAD, India BharatNet) whose timing keeps slipping; (4) the stock's Rs 27,900-crore market value sits on almost no current profit — a lot of the recovery is already priced in.

5. Bottom line — two verdicts

Durable earning trigger? → MAYBE

The demand recovery is **real and visible** — orders more than doubled, sales are growing again, North America is booming and the AI-data-centre angle is a genuine new leg. That is stronger than a mere hope. But it is rated MAYBE, not YES, because the trigger has not yet turned into **earnings**: full-year standalone net profit is barely above zero, return on capital is only 6%, and the entire investment case rests on operating margin climbing from ~13% to a promised 20% that management has repeatedly pushed out. The top-line trigger is landing; the profit trigger is still unproven.

Management consistent? → MAYBE

Same team, same steady thesis for three years, honest disclosure of tariffs, lawsuits and supply risks, and the hard structural promises (demerger, debt reduction) delivered on time. That earns real credit. What holds it back from a clean YES is a two-year habit of saying recovery was "one to two quarters away" when it wasn't, and a 20% margin goal that keeps getting re-promised. The direction has been reliable; the timing has not.

Business also carries a small IT-services arm (STL Digital, ~Rs 284 cr sales FY26, just turned profitable). Sources: Screener.in financial snapshot + Q4 FY24, Q4 FY25, Q3 FY26 and Q4 FY26 concall transcripts. *This is not investment advice. Do your own due diligence.*